

NEGATIVE INTEREST RATE POLICY (NIRP)

In some countries, the central bank has experimented with cutting base interest rates to a negative figure, for instance, - 0.01 per cent. If this rate were passed on by commercial banks, it would mean that depositors must pay a percentage of their deposit to the bank. But while a central bank might impose a negative interest rate to encourage spending and

investment, and discourage savers from hoarding cash, commercial banks usually tend to be reluctant to pass negative interest charges on to customers, and particularly small businesses, as depositors may be driven to withdraw their savings in cash to avoid fees. Large depositors, however, may pay negative rates for security and a stable currency account.

40.5%
Argentina's rate
of inflation in
April 2016, the
world's highest

When interest rates are lowered

Lower interest rates make it cheaper to take out loans, and hence to spend more money, while saving becomes less attractive as interest rates are low. With more money in circulation, demand for products and services rise, stimulating businesses and increasing employment.

